Samsung Electro-Mechanics

(009150 KS)

3Q26 preview: disclosures confirm growth

Sun-young Kou
Electronics/Parts
sunyoung.kou@yuantakorea.com

BUY (M)

Target price	W2,300,000 (M)
Previous target price	W2,300,000
Current price (Oct 07)	W1,604,000
Upside potential	43%

Market cap (Wbn)	119,809
Shares outstanding	77,600,680
Avg daily T/O (2M, Wbn)	1,015
Avg daily volume (2M, shrs)	749,021
52-week high/low (won)	2,270,000 / 195,800
Foreign ownership (%)	37.73%
Dividend yield (%)	0.92%
Major shareholders	Samsung Electronics & others

Stock performance

(%)	1M	3M	12M
Absolute	10.3	(2.7)	719.2
Relative	13.4	9.5	327.3
Abs (US$)	10.3	11.0	755.6

3Q26 preview: unique growth path that outweighs forex headwinds

We estimate 3Q26 revenue at W3.7625tn (+30.2% YoY, +8.8% QoQ) and OP at W683.2bn (OPM 18.2%), substantially above consensus. Forex concerns persist across the sector, but the impact on the company will likely be limited, given: 1) potential upside in both pricing and volume; 2) active forex hedging; and 3) conservative exchange rate guidance. In components, solid demand and a shift toward higher-value products, including server applications, could lift ASP by around 10% QoQ. Following price increases through distribution channels, negotiations with direct customers are underway, setting the stage for a full-fledged price hike cycle in 2027. In the package substrate business, ASP continues to rise on price hikes and a high share of server products, with FC-BGA margins expected to approach 30%.

Disclosures support strong earnings: solid growth cycle over next 3 years

Disclosures on orders and capacity expansion underpin the strong earnings outlook for both the components and package substrate businesses. A prime example is the Sep 28 disclosure on new facility investment and the acquisition of tangible assets. This puts the previously communicated ABF capacity expansion plans into action, with total investment of W6.78tn (W4.27tn in Sejong and W2.51tn in Vietnam). Considering that the Vietnam disclosure by, a subsidiary, covers only equipment investment, including land and infrastructure would bring its total investment to a level similar to Sejong. Including Busan, ABF investment in 2026-2028 is expected to approach W9tn-10tn. Record ABF capex is underway, backed by long-term agreements (LTAs) and customer advance payments. MLCC investment is also proceeding, with around W4tn-5tn planned to support annual capacity expansion of more than 20%. In components, order disclosures confirm robust AI server demand. Following the silicon capacitor order in May, five additional AI server MLCC orders were disclosed in June, July, September (September 1 and 29), and October (October 6). Orders scheduled to contribute to revenue in 2027–28 alone total around W4tn.

Maintain BUY and target price of W2,300,000

We derived our target price by applying a target P/E of 45.2x to 2027E EPS. 1) MLCC orders and the price hike cycle continue to support earnings leverage. 2) For substrates, record capex backed by LTAs and customer advance payments through 2028 further strengthens the growth cycle. SEMCO's outlook remains the strongest among major electronic component firms. We maintain BUY and keep SEMCO as our sector top pick.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	3,762	30.2	8.8	3,813	-1.3
OP	683	162.5	55.1	632	8.2
Pre-tax net profit	669	137.3	54.3	613	9.1
Net profit, CI	515	134.1	63.0	496	3.8
OPM (%)	18.2	+9.2 %pt	+5.5 %pt	16.6	+1.6 %pt
NPM (%)	13.7	+6.1 %pt	+4.6 %pt	13.0	+0.7 %pt

Note: CI = controlling interest

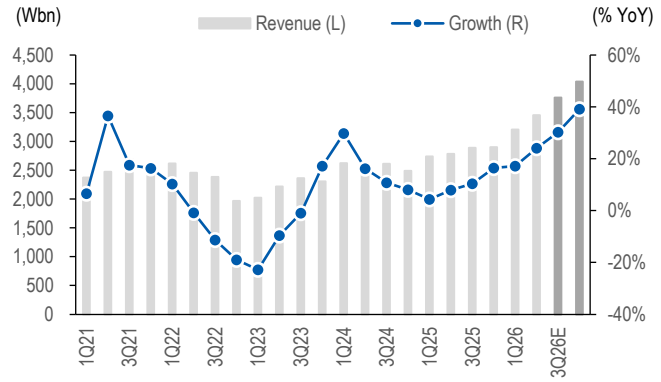
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	10,294	11,314	14,468	18,967
OP	735	913	2,206	4,888
Net profit, CI	679	706	1,686	3,725
P/E (x)	15.6	17.5	71.4	32.2
P/B (x)	1.2	1.3	10.2	7.7
EV/EBITDA (x)	6.7	6.7	37.0	18.9
ROE (%)	8.2	7.7	15.8	26.9

Source: Yuanta Securities

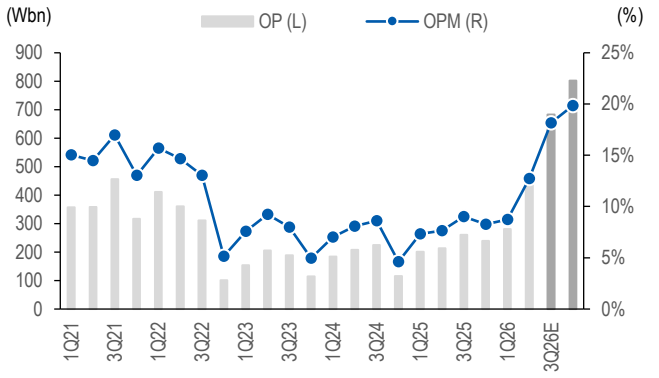
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

SEMCO: quarterly revenue and growth (YoY)



Source: company data, Yuanta Securities

SEMCO: quarterly OP and OPM



Source: company data, Yuanta Securities

SEMCO: earnings forecast revision

(Wbn)	3Q26E			2026E			2027E		
	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Revenue	**3,762**	**3,762**	**0**	**14,468**	**14,354**	**114**	**18,967**	**18,379**	**588**
Component	1,934	1,934	0	7,094	6,980	114	10,869	10,282	588
Optics/communication	863	863	0	3,865	3,865	0	3,674	3,674	0
Package	965	965	0	3,509	3,509	0	4,424	4,424	0
OP	**683**	**602**	**81**	**2,206**	**1,962**	**244**	**4,889**	**3,673**	**1,215**
OPM (%)	**18.2%**	**16.0%**	**+2.2%p**	**15.2%**	**13.7%**	**+1.6%p**	**25.8%**	**20.0%**	**+5.8%p**

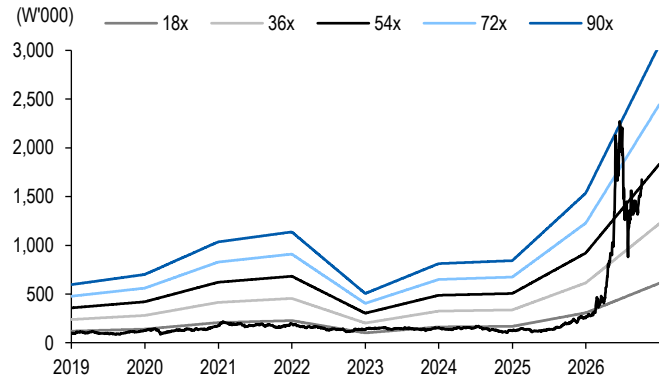
Source: Yuanta Securities

SEMCO: target price calculation

	Value	Note
EPS (won)	49,784	2027E EPS
Target P/E (x)	**45.2**	**Average 2027E P/E of Ibiden and Unimicron**
Target price (won)	**2,300,000**	**EPS x target P/E**
Current price (won)	1,675,000	
Upside (%)	43%	

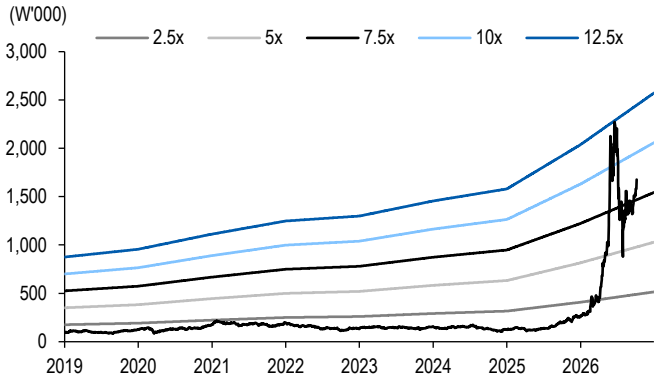
Note: as of the Aug 10 close Source: Yuanta Securities

SEMCO: 12-month-forward P/E band



Source: Yuanta Securities

SEMCO: 12-month-forward P/B band



Source: Yuanta Securities

SEMCO: quarterly earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**2,738.7**	**2,784.6**	**2,889.0**	**2,902.1**	**3,209.1**	**3,457.2**	**3,762.5**	**4,039.2**	**11,314.4**	**14,467.9**	**18,967.0**
YoY growth (%)	4.4%	7.9%	10.5%	16.4%	17.2%	24.2%	30.2%	39.2%	9.8%	27.9%	31.1%
QoQ growth (%)	9.9%	1.7%	3.7%	0.5%	10.6%	7.7%	8.8%	7.4%	-	-	-
Component solution	1,216.2	1,280.7	1,381.2	1,320.3	1,408.5	1,649.4	1,933.9	2,101.9	5,198.4	7,093.7	10,869.1
YoY growth (%)	18.9%	10.4%	15.4%	22.0%	15.8%	28.8%	40.0%	59.2%	16.5%	36.5%	53.2%
QoQ growth (%)	12.4%	5.3%	7.8%	-4.4%	6.7%	17.1%	17.2%	8.7%	-	-	-
Optics & communication solution	1,023.0	939.3	914.6	937.2	1075.6	1036.2	863.1	890.5	3,814.1	3,865.4	3,674.2
YoY growth (%)	-12.8%	2.0%	6.3%	8.8%	5.1%	10.3%	-5.6%	-5.0%	0.0%	1.3%	-4.9%
QoQ growth (%)	18.8%	-8.2%	-2.6%	2.5%	14.8%	-3.7%	-16.7%	3.2%	-	-	-
Package solution	499.4	564.6	593.2	644.6	725.0	771.6	965.4	1,046.8	2,301.8	3,508.8	4,423.7
YoY growth (%)	16.7%	13.1%	6.3%	17.3%	45.2%	36.7%	62.7%	62.4%	13.1%	52.4%	26.1%
QoQ growth (%)	-9.1%	13.1%	5.1%	8.7%	12.5%	6.4%	25.1%	8.4%	-	-	-
% in sales (%)											
Component solution	44.4%	46.0%	47.8%	45.5%	43.9%	47.7%	51.4%	52.0%	45.9%	49.0%	57.3%
Optics & communication solution	37.4%	33.7%	31.7%	32.3%	33.5%	30.0%	22.9%	22.0%	33.7%	26.7%	19.4%
Package solution	18.2%	20.3%	20.5%	22.2%	22.6%	22.3%	25.7%	25.9%	20.3%	24.3%	23.3%
OP	**200.6**	**213.0**	**260.3**	**239.5**	**280.6**	**440.4**	**683.2**	**801.5**	**913.3**	**2,205.7**	**4,888.5**
YoY growth (%)	9.2%	2.4%	15.7%	108.2%	40.0%	106.8%	162.5%	234.7%	24.3%	141.5%	121.6%
QoQ growth (%)	74.3%	6.2%	22.2%	-8.0%	17.2%	56.9%	55.1%	17.3%	-	-	-
Component solution	133.5	156.7	180.7	138.5	164.9	300.2	448.7	525.5	609.4	1,439.3	3,533.2
Optics & communication solution	44.3	31.5	39.6	53.3	60.4	36.7	41.4	43.6	168.7	182.2	151.4
Package solution	22.7	24.8	40.0	47.7	55.3	103.5	193.1	232.4	135.2	584.3	1,203.9
OPM (%)	**7.3%**	**7.6%**	**9.0%**	**8.3%**	**8.7%**	**12.7%**	**18.2%**	**19.8%**	**8.1%**	**15.2%**	**25.8%**
Component solution	11.0%	12.2%	13.1%	10.5%	11.7%	18.2%	23.2%	25.0%	11.7%	20.3%	32.5%
Optics & communication solution	4.3%	3.4%	4.3%	5.7%	5.6%	3.5%	4.8%	4.9%	4.4%	4.7%	4.1%
Package solution	4.6%	4.4%	6.7%	7.4%	7.6%	13.4%	20.0%	22.2%	5.9%	16.7%	27.2%

Source: Yuanta Securities

Samsung Electro-Mechanics (009150 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**10,294**	**11,314**	**14,468**	**18,967**	**24,657**
Cost of sales	8,335	9,037	10,596	11,977	16,200
Gross profit	1,959	2,277	3,872	6,990	8,457
SG&A	1,224	1,364	1,667	2,102	2,712
Operating profit	**735**	**913**	**2,206**	**4,888**	**5,745**
EBITDA	1,575	1,838	3,281	6,391	7,241
Non-operating profit	62	-17	0	-51	-24
Forex gains	115	-29	63	0	0
Net interest income	-1	-4	-35	-29	-2
Equity-method gains	-1	1	1	19	19
Other	-51	15	-30	-41	-41
Net prof before income tax	797	896	2,206	4,837	5,721
Income tax	132	164	459	963	1,125
Net profit from continuing ops	665	732	1,747	3,874	4,596
Net profit from discontinued ops	38	-1	0	0	0
Net profit	703	731	1,747	3,874	4,596
NP for controlling interest	**679**	**706**	**1,686**	**3,725**	**4,419**
Total comprehensive income	1,074	919	2,300	4,320	5,042
Total comprehensive income, CI	1,028	889	2,181	4,087	4,770

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**5,892**	**7,098**	**9,558**	**12,320**	**16,413**
Cash & cash equivalents	2,013	2,701	3,439	3,809	5,376
Accounts receivables & other	1,492	1,867	2,599	3,615	4,673
Inventory	2,251	2,413	3,358	4,671	6,073
Non-current assets	6,901	7,498	9,219	11,972	14,207
Tangible assets	5,933	6,222	7,924	10,632	12,811
Investment in affiliates	65	62	87	120	156
Other investment assets	353	581	608	650	694
Total assets	**12,792**	**14,596**	**18,778**	**24,292**	**30,620**
Current liabilities	3,057	3,819	5,318	6,293	7,333
Accounts payable & other	1,212	1,469	2,045	2,844	3,697
ST financial liabilities	1,314	2,003	2,792	2,792	2,792
Liquid LT liabilities	266	25	33	33	33
Non-current liabilities	720	979	1,279	1,676	2,100
LT financial liabilities	0	188	202	202	202
Debentures	0	0	0	0	0
Total liabilities	**3,777**	**4,799**	**6,597**	**7,968**	**9,433**
Equity, controlling interest	8,789	9,542	11,838	15,831	20,519
Paid-in capital	388	388	388	388	388
Capital surplus	1,054	1,054	1,054	1,054	1,054
Retained earnings	6,490	7,065	8,573	12,121	16,362
Equity, non-controlling interest	227	256	343	492	668
Total equity	**9,016**	**9,797**	**12,181**	**16,323**	**21,187**
Net debt	**-392**	**-448**	**-386**	**-768**	**-2,349**
Total debt	1,636	2,277	3,087	3,087	3,087

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,430**	**1,490**	**2,603**	**4,778**	**5,362**
Net profit	703	731	1,747	3,874	4,596
Depreciation & amortization	790	884	1,036	1,472	1,472
Forex gains	-141	49	-38	0	0
Affiliate investment gains	1	-1	-1	-19	-19
Increase in net working cap	-319	-707	-807	-1,179	-1,310
Other	396	534	666	631	624
Investing cash flow	**-806**	**-1,223**	**-2,291**	**-3,758**	**-3,234**
Investment	-17	-2	-62	-76	-81
Increase in tangible assets	-776	-1,192	-2,457	-4,180	-3,650
Decrease in tangible assets	4	1	1	0	0
Other	-17	-30	228	498	497
Financing cash flow	**-309**	**418**	**361**	**-307**	**-307**
ST financial liabilities	246	690	789	0	0
Debenture/LT financial liabilities	-206	-48	22	0	0
Equity	0	0	0	0	0
Cash dividend	-89	-138	-179	-178	-178
Other cash flow	-260	-85	-270	-129	-129
Consolidation adj and other	29	3	66	-344	-255
Increase in cash & equivalents	**344**	**688**	**738**	**369**	**1,567**
Beginning cash & equivalents	1,669	2,013	2,701	3,439	3,809
Ending cash & equivalents	2,013	2,701	3,439	3,809	5,376
NOPLAT	735	913	**2,206**	**4,888**	**5,745**
FCF	**654**	**298**	**146**	**598**	**1,712**

Valuation

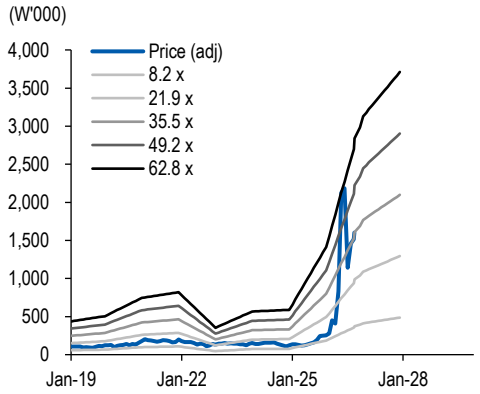
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	9,022	9,362	22,480	49,784	59,073
BPS (won)	116,340	126,302	156,692	209,557	271,606
EBITDA/shr (won)	20,299	23,685	42,279	82,361	93,312
SPS (won)	132,655	145,804	186,441	244,418	317,743
DPS (won)	1,800	2,350	2,350	2,350	2,350
P/E (x)	**15.6**	**17.5**	**71.4**	**32.2**	**27.2**
P/B (x)	**1.2**	**1.3**	**10.2**	**7.7**	**5.9**
EV/EBITDA (x)	**6.7**	**6.7**	**37.0**	**18.9**	**16.5**
P/S (x)	**1.1**	**1.1**	**8.6**	**6.6**	**5.0**

Key financial data

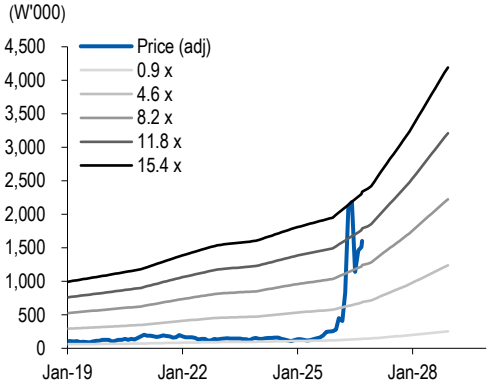
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**15.8**	**9.9**	**27.9**	**31.1**	**30.0**
Operating profit (%YoY)	**11.3**	**24.3**	**141.5**	**121.6**	**17.5**
Net profit, CI (%YoY)	**60.6**	**4.0**	**138.8**	**121.0**	**18.6**
Gross margin (%)	19.0	20.1	26.8	36.9	34.3
Operating margin (%)	**7.1**	**8.1**	**15.2**	**25.8**	**23.3**
Net margin, CI (%)	6.6	6.2	11.7	19.6	17.9
EBITDA margin (%)	15.3	16.2	22.7	33.7	29.4
ROIC (%)	7.6	8.6	17.0	28.7	26.4
ROA (%)	5.6	5.2	10.1	17.3	16.1
ROE (%)	**8.2**	**7.7**	**15.8**	**26.9**	**24.3**
Debt-to-equity (%)	41.9	49.0	54.2	48.8	44.5
Net debt-to-equity (%)	-4.5	-4.7	-3.3	-4.9	-11.4
OP/financing cost (x)	10.1	12.0	17.7	37.8	44.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

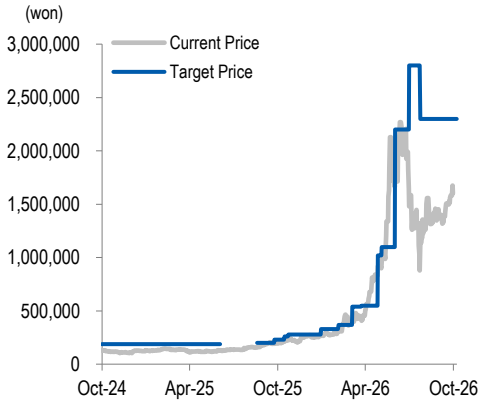
P/E band chart



P/B band chart



Samsung Electro-Mechanics (009150 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/08	BUY	2,300,000	1 yr		
2026/07/31	BUY	2,300,000	1 yr		
2026/07/08	BUY	2,800,000	1 yr	-53.89	-43.43
2026/06/09	BUY	2,200,000	1 yr	-9.40	3.18
2026/05/12	BUY	1,100,000	1 yr	32.72	93.36
2026/05/04	BUY	1,020,000	1 yr	-10.71	-10.10
2026/03/31	BUY	550,000	1 yr	15.98	52.55
2026/03/12	BUY	540,000	1 yr	-18.10	-11.20
2026/02/11	BUY	370,000	1 yr	7.84	26.08
2025/10/22	BUY	260,000	1 yr	-12.58	-10.77

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 08, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)